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The following are the differences among the three types of software:

Basis	Ready to use software	Customised software	Tailor made software
(i) Nature of business	Small, conventional business	Large, medium business	Large
(ii) Cost of installation and maintenance	Low	Relatively high	High
(iii) Expected level of secrecy (software and data)	Low	Relatively high	Relatively high
(iv) Number of users and their interface	Limited	As per specifications	Unlimited
(v) Linkage to other information system	Restricted	Not restricted	Not restricted
(vi) Adaptability	High	Relatively high	Specific
(vii) Training Requirements	Low	Medium	High

14.7 Grouping and codification of accounts

When the volume and size of the business increase, the number of transaction increases. Therefore, it becomes necessary to have proper classification of data.

